

WHIRLPOOL CORPORATION (NYSE: WHR)

A Leveraged Turnaround the Equity Can't Afford SELL — \$16 Target

Equity Research Note · Consumer Durables — Home Appliances · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
SELL	\$16	\$30.31 Oct 2, 2026	-47.2%	High Leveraged distress equity

Snapshot			
Market cap	~\$1.98 bn	Shares (common)	65.2 mn (diluted post-raise)
Enterprise value	~\$7.8 bn	52-week range	\$29.95 – \$94.82
Net debt (6/30/26)	~\$5.8 bn (all agencies junk)	YTD / 1-yr return	Down ~62% / 1-yr
2026E revenue (guide)	~\$15.0 bn	2026E ongoing EPS (guide)	\$2.50 – \$3.00
Ongoing EBIT margin	~4.0% (guide) vs 6.1% (2023)	FCF (H1'26 / FY guide)	\$(1.11) bn / >\$300 mn
Dividend	Suspended	Short interest	~22.9% of float

This note is independent research-style analysis for informational purposes only and is not investment advice. Figures are drawn from Whirlpool's SEC filings and earnings releases, its public guidance, and reputable financial press as of October 2, 2026. Projections and the price target are the author's estimates. The author may have no position in the security.

1 Investment Thesis

Whirlpool is priced for a recovery its capital structure cannot afford to wait for. This is not a debate about whether appliance demand eventually troughs — it surely does, and our **bull case** gives the company a full demand recovery, 3.0% revenue growth for a decade, EBIT margins expanding to 6.0%, and net debt working down to \$4.7B. Even that case, discounted at a generous 10.5%, is worth **\$55.13**. The **base case** — the most probable path, revenue growing ~2% with margins normalizing to 5.5% — leaves just **~\$0.3 billion of residual equity** once \$5.8B of net debt and the \$575M mandatory convertible preferred are paid first. That is \$4.99 a share. The stock trades at \$30.31. Six dollars of equity per hundred dollars of enterprise value is not a valuation opinion; it is arithmetic.

The bear case is not a stress test — it is roughly what is happening. U.S. industry demand was described by management as recessionary in March 2026; Q2 2026 ongoing EBIT margin printed at 1.8% versus 5.3% a year earlier; North America margin is under 3%; and FY2025 ongoing EBIT of \$729M covers interest barely twice. A company with ~\$5.8B of net debt against ~\$2B of equity market value, priced with a 14.5% distress discount, has **zero residual equity in the bear case** — the math says \$0.00. The weighted fair value is **\$16**: $0.25 \times \$0 + 0.50 \times \$4.99 + 0.25 \times \$55.13$. The 10% yield-style argument — FCF guidance above \$300M against a ~\$2B market cap — collapses the moment you notice H1 2026 burned \$(1.1)B of FCF and the full-year target demands a heroic H2 working-capital release. Equity investors are underwriting a turnaround whose cash flows belong, contractually and practically, to the creditors and the preferred.

A note on our own history: the old note's **REDUCE with a \$25 target** was, if anything, too kind — it carried upside bias from the usual leaks: mild bear cases, management-anchored margins, and flat discount rates. The hardened rebuild fixes all of that. The base discount is 12% (distressed tier: junk ratings across the agencies, 22.9% short interest, a dividend suspension, a February 2026 equity raise that diluted common holders ~16% plus a mandatory-convertible preferred layer), the bear gets a 250bp penalty, terminal growth is capped at 2.0% on **mid-cycle** margins, and the bear now sits at \$0 — below the price, as it must. **The target is \$16 and the rating is SELL.** (For the record: at a 10% discount the same model says \$29 — the SELL is explicitly a call that 12% is the right rate for a leveraged turnaround equity.)

What the bulls own

A real demand trough can only reverse. Management called March 2026 demand recessionary; post-COVID pull-forward means the 2020–22 cohort ages toward replacement ~2028–34 — a genuine cyclical tailwind.

Pricing power just reappeared. Promotional prices raised >10% versus Q1 and a +4% list increase took effect in July 2026; North America EBIT margin improved 240 bps sequentially in Q2.

Portfolio reshaping is complete. The European business exited into Beko (stake sold June 2026 for \$84M net cash), India deconsolidated — Whirlpool is now ~90% Americas, a simpler asset.

Cost takeout and brand equity. >\$150M structural cost removal targeted (~100 bps); Whirlpool rated best-in-class in dishwasher and dryer satisfaction (ACSI 2026); KitchenAid won Best of KBIS.

What the arithmetic says

The balance sheet eats the business. \$5.8B net debt + \$575M preferred senior to ~\$2B of common equity; FY2025 interest coverage 2.1x; new second-lien notes priced at 7.5–7.875%. The base case's ~\$6.0B enterprise value leaves common shareholders ~\$0.3B — five dollars a share.

The FCF guide is a bet, not a fact. H1 2026 FCF was \$(1.108)B; hitting >\$300M for the year requires one of the strongest H2 working-capital releases in company history.

2026 was dilutive by design. ~16% common-share dilution plus an 8.5% mandatory convertible preferred in February 2026, and the dividend was suspended — every rescue came at equity holders' expense.

Tariffs help on paper, hurt in practice. Duties rose on steel content of imported appliances, but Whirlpool's own steel and component costs rose too — and output kept falling at Amana (Reuters, June 2026).

The bear case is the operating reality. –0.8% revenue CAGR and 2.5% margins at a 14.5% discount = \$0 of residual equity. A quarter of our probability mass sits there.

2 Business Overview — What Whirlpool Is

Whirlpool Corporation (founded 1911, Benton Harbor, Michigan; CEO Marc Bitzer) is the largest major-appliance manufacturer in the Americas, with ~\$15B of annual sales and ~41,000 employees across 35 manufacturing and technology centers. The brand portfolio — Whirlpool, KitchenAid, Maytag, Amana, JennAir, Brastemp, Consul, InSinkErator — spans laundry, refrigeration, cooking, dishwashing, and small domestic appliances. The company celebrated its 115th anniversary in July 2026 while trading near a multi-decade low: down ~62% over one year and ~80% over ten.

Two transformations define today's asset. First, the portfolio has been surgically shrunk: the European business went into the Beko Europe joint venture in 2024 and the remaining 25% stake was sold in June 2026; the India business was deconsolidated in December 2025. The remnant is ~90% **Americas**. Second, the 2026 capital restructuring — ~16% common dilution, a \$575M mandatory convertible preferred, dividend suspension — bought the balance sheet time at shareholders' expense.

Segment economics (FY2025, post-Europe exit)

Segment	FY2025 sales	Share	FY2025 EBIT	EBIT margin
MDA North America	\$10,158 mn	65.4%	\$499 mn	4.9%
MDA Latin America	\$3,272 mn	21.1%	\$201 mn	6.1%
SDA Global	\$1,108 mn	7.1%	\$177 mn	16.0%
Other	\$986 mn	6.4%	\$(53) mn	—

Sources: FY2025 10-K / annual report; Q2 2026 release and 10-Q. North America is two-thirds of sales at sub-5% margins; the high-margin SDA (InSinkErator) franchise is only 7% of sales — the mix does not save the math.

Where it stands today

Q2 2026 (Aug 3): revenue \$3,517M (–6.8%); ongoing EBIT margin 1.8% (\$62M) vs 5.3% PY; gross margin 12.6% (–360 bps); ongoing EPS \$(0.21). Sequential bright spot: NA sales +8% vs Q1, NA EBIT margin +240 bps on promotional price recovery.

2026 guidance (reaffirmed): revenue ~\$15.0B, ongoing EBIT margin ~4.0%, ongoing EPS \$2.50–\$3.00, OCF ~\$700M, FCF >\$300M, year-end net debt <\$5.0B. Execution risk: H1 FCF was \$(1.108)B.

Demand backdrop: U.S. industry demand described as recessionary in March 2026; Electrolux cut its North America 2026 market outlook to "Negative" and launched a ~\$1B rights issue after a Q1 operating loss; Labor Day promotions ran to 45% off at Lowe's.

Competitive position: U.S. value share (TraQline 2023): Samsung 21%, LG 19%, GE (Haier) 18%, Whirlpool 15% — Whirlpool is the #4 player in its home market, facing Korean and Chinese scale.

3 Valuation — Hardened 10-Year DCF, Fair Value \$16

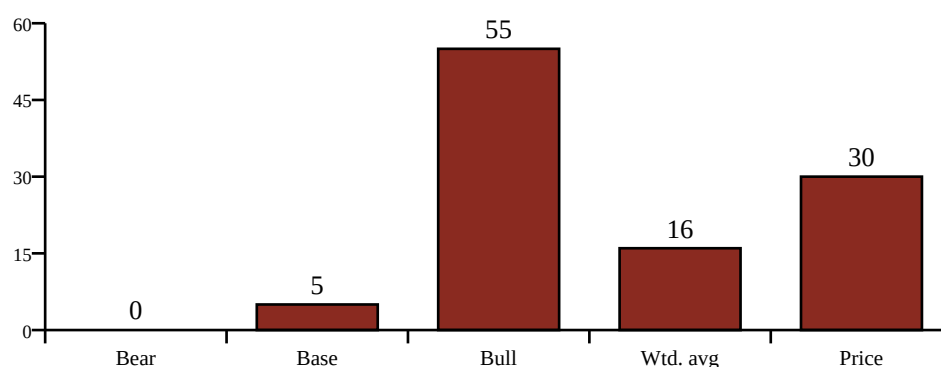
We value Whirlpool on a 10-year scenario free-cash-flow-to-firm DCF — weights bear 25% / base 50% / bull 25% — with scenario-specific discounts: bear 14.5% (base + 250bp), base 12.0% (distressed tier: junk ratings at all three agencies, ~23% short interest, dividend suspended, \$5.8B net debt vs ~\$2B equity, 2026 dilution), bull 10.5% (base – 150bp). Terminal growth is capped at 1.5% / 2.0% / 2.0% on year-10 FCF at **normalized mid-cycle EBIT margins** (2.5% / 5.5% / 6.0%), never peak margins. **The \$575M mandatory convertible preferred is treated as senior to common equity** — because it is — and subtracted alongside net debt before any residual is

assigned to the 65.2M common shares.

Scenario DCF (10-year, debt-like preferred subtracted)

Scenario	2026–36 rev CAGR	EBIT margin (yr-10)	Discount / term. g	Equity residual	Fair value
Bear	−0.8%	2.5%	14.5% / 1.5%	\$(4.01) bn → \$0	\$0.00
Base	+2.0%	5.5%	12.0% / 2.0%	\$0.33 bn	\$4.99
Bull	+3.0%	6.0%	10.5% / 2.0%	\$3.59 bn	\$55.13
Probability-weighted (25/50/25) → \$16 target					\$16

Scenario fair values vs. Oct 2, 2026 price (\$)



The picture is binary around the capital structure. In the bear case, the \$5.6B of net debt plus the preferred swallow the entire \$2.2B enterprise value — common equity is a **\$4B hole, valued at zero**. In the base case, the enterprise is worth \$6.0B, debt and preferred take \$5.7B of it, and the 65.2M shares split \$0.3B — **\$4.99 each**. Only the bull case (25% weight) delivers real equity value (\$55.13). Weighted: \$16.28 → **\$16**, −47.2% below the \$30.31 price. Note that the terminal-value share of EV stays under 50% in all scenarios — this target is driven by the explicit cash flows and the debt subtraction, not by terminal-value gamesmanship.

Price target: \$16. The target is the probability-weighted hardened DCF ($0.25 \times \$0.00 + 0.50 \times \$4.99 + 0.25 \times \$55.13$), with no overrule and no circular multiple. Implied downside 47.2%. Sensitivity, stated honestly: at a 10% base discount the model says ~\$29 — still below the price — and this SELL is explicitly a judgment that 12% is the cycle-appropriate rate for a junk-rated, leveraged turnaround equity, not a 10% quality-company rate.

4 Risks

Balance-sheet fragility. Interest coverage was 2.1x in FY2025; new second-lien notes priced at 7.5–7.875%; all agencies junk. Any H2 2026 FCF shortfall forces another round of dilutive rescue — equity has already paid once this year.

Demand may not trough in 2026. Management called March demand recessionary and Electrolux's North America outlook is "Negative." If promotions stay at Labor-Day intensity (up to 45% off), the 4% margin guide is at risk and the bear case advances.

Tariff whiplash. Whirlpool lobbied for protection, but duties raised its own input costs; Section 232 extensions now hit steel content of imported appliances — helping price umbrellas while raising Whirlpool's cost base.

Share loss and brand impairment. #4 in U.S. value share behind Samsung, LG, and GE (Haier); Chinese brands now hold ~20% of Europe's washer/fridge markets — the competitive model Whirlpool fled by exiting Europe. JennAir took a \$106M impairment in 2025; Maytag, Amana, and InSinkErator are flagged

at risk.

Promotional and concentration channels. Lowe's alone is ~15% of sales (44% of receivables) — a leveraged retailer relationship with pricing power that runs against the margin-recovery story.

5 What Would Falsify This Call

This SELL is falsified — concretely and checkably — by: **FY2026 free cash flow exceeding \$300M** (the guide, delivered, not repeated as a target), **net debt below \$5.0B at year-end** (also the guide), and **North America EBIT margins tracking toward 5%** on a sustained basis (not one promotional-price quarter). All three together would mean the business is generating cash ahead of the debt and the deleveraging path is real — the base case's \$0.3B residual equity would grow, and the 12% distress discount would no longer fit. Any single one is insufficient: the bear case demands all three stay missing.

Recommendation

SELL, \$16 target (–47.2%). Whirlpool is a ~\$15B-revenue manufacturer with \$5.8B of net debt and a \$575M preferred layer sitting ahead of ~\$2B of common equity. The hardened 10-year DCF values the equity at \$16 (bear \$0.00 / base \$4.99 / bull \$55.13) against a \$30.31 quote; the base case — the most probable path — leaves common shareholders roughly five dollars a share. The stock is priced for a recovery the capital structure cannot afford to wait for. **Current holders should sell.** We would revisit on the three falsification conditions above — in that order.

This note is research analysis, not investment advice. Estimates are the author's; figures sourced from company filings, earnings materials, guidance, and market data as of October 2, 2026. The \$16 target is the probability-weighted fair value rounded; unrounded \$16.28.